ENERGY POLICY & MACROECONOMIC INTELLIGENCE BRIEF

U.S. National Gasoline Prices & Geopolitical Conflicts

Longitudinal analysis of retail pump benchmarks, global crude disruptions, and policy interventions (January 2021 – September 2026)

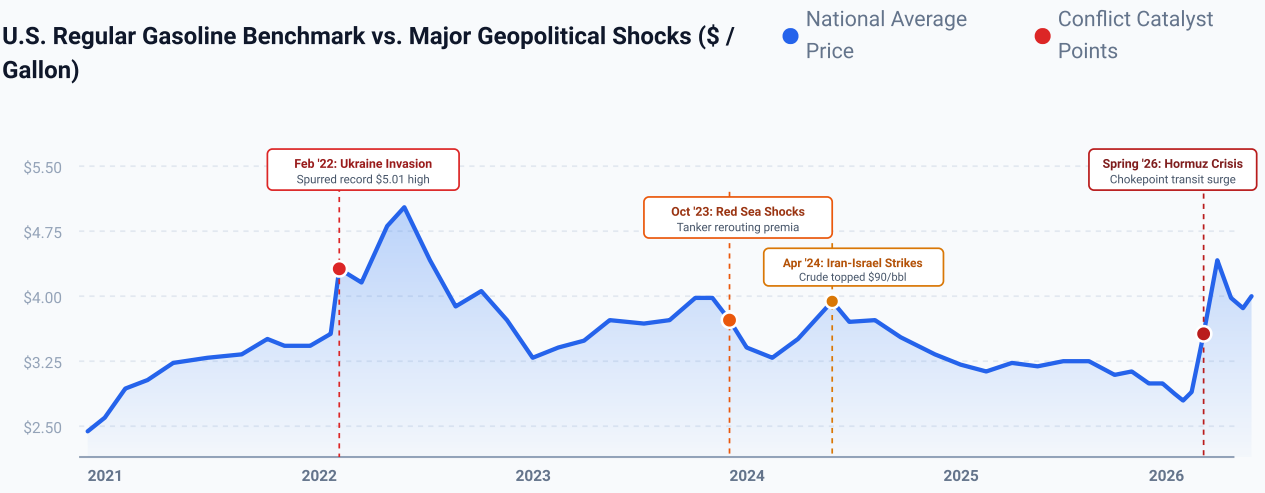
BASELINE (INAUGURATION)
$2.42
Jan 2021 | Post-COVID Low

ALL-TIME NOMINAL PEAK
$5.01
Jun 2022 | Ukraine Shock

SECONDARY PEAK
$4.48
May 2026 | Hormuz Disruption

CURRENT LEVEL (SEP 2026)
$4.16
Sep 2026 | Settled Range

U.S. Regular Gasoline Benchmark vs. Major Geopolitical Shocks ($ / Gallon)



EXECUTIVE SUMMARY

Throughout the tenure of the Biden Administration, domestic retail gasoline prices functioned as the primary frontline indicator of international geopolitical turbulence. Entering office in January 2021 during depressed demand caused by the COVID-19 pandemic ($2.42 per gallon national average), pump benchmarks underwent an extraordinary sequence of supply contractions and security shocks.

While post-lockdown macroeconomic recovery initially elevated prices into early 2022, the **Russian invasion of Ukraine in February 2022** triggered the fastest price escalation in contemporary American history, culminating in an all-time record average of **$5.01 per gallon in June 2022**. Subsequent multi-phase releases from the U.S. Strategic Petroleum Reserve (SPR) alongside historic domestic oil production (exceeding 13.2 million barrels per day) temporarily stabilized benchmarks. However, the subsequent **Red Sea maritime tanker attacks (late 2023)**, direct **Iran-Israel aerial exchanges (April 2024)**, and the **Spring 2026 Strait of Hormuz chokepoint crisis** reinforced the persistent vulnerability of pump prices to Middle Eastern energy corridors.

IN-DEPTH GEOPOLITICAL CATALYSTS & MARKET TRANSMISSION

1. Russian Invasion of Ukraine & Global Sanctions Shock (Feb – Jun 2022)

All-Time Record Peak

Mechanism: Immediate exclusion of Russian Urals crude from transatlantic trading pipelines, coupled with Western import bans and sovereign vessel sanctions, removed approximately 2.5 to 3.0 million barrels per day of intermediate and sweet crude from conventional maritime trade.

Price Trajectory: U.S. retail gasoline rose vertically from $3.61/gal in February 2022 to $4.32 in March, ultimately reaching a nominal all-time record of $5.01/gal during the week of June 13, 2022. Relief arrived only following the emergency allocation of 180 million barrels from the U.S. Strategic Petroleum Reserve and European refinery retooling.

2. Israel-Hamas Outbreak & Red Sea Maritime Chokepoint (Oct 2023 – Jan 2024)

Maritime Routing Crisis

Mechanism: Following the outbreak of hostilities in Gaza, Houthi anti-ship ballistic missile and drone attacks in the Bab el-Mandeb strait effectively shut down commercial Suez Canal tanker passages. Oil carriers were forced to circumnavigate Africa via the Cape of Good Hope, adding 12–16 days of sailing time and escalating bunker fuel and maritime hull war insurance premiums by over 300%.

Price Trajectory: Rather than experiencing normal seasonal autumn downward drifts, national retail prices remained sticky at $3.74 to $3.80/gal, creating sustained inflationary headwinds for consumer transport through winter 2023–2024.

3. Direct Iran–Israel Confrontation (April 2024)

Crude Benchmark Spike

Mechanism: The direct exchange of ballistic missiles and unmanned aerial munitions between Iran and Israel raised immediate market concerns regarding upstream extraction infrastructure in the Kharg Island hub and retaliatory strikes on regional refineries. Global benchmark Brent briefly broke through the $91/bbl threshold.

Price Trajectory: U.S. regular retail gasoline hit its calendar-year 2024 high of $3.73/gal in April. Price stabilization resumed by June 2024 as diplomatic signaling contained military targets to non-energy installations.

4. Strait of Hormuz Chokepoint & Transit Gridlock (Spring 2026)

Supply Deficit Shock

Mechanism: Severe security flare-ups and boarding incidents in the Strait of Hormuz—the arterial conduit for 20% of the world's petroleum liquids—induced near-total risk avoidance by supertanker operators (VLCCs).

Price Trajectory: Domestic pump averages surged from an early 2026 low of $2.82/gal directly to $4.48/gal by mid-May 2026, marking the sharpest multi-week commodity repricing since 2022 before leveling near $4.16/gal in late summer 2026.

Structural Policy Dampener: U.S. Domestic Upstream Production

The primary buffer mitigating even steeper geopolitical shocks between 2023 and 2026 was record domestic oil extraction. U.S. crude output reached an unprecedented 13.2 to 13.5 million bpd, allowing American refiners to operate at high utilization rates and partially offset OPEC+ export restraint and shipping lane closures.

HISTORICAL BENCHMARK DATA TABLE (2021 – 2026)

Representative monthly retail regular gasoline prices (U.S. City Average, Dollars per Gallon) compiled from EIA and BLS survey data across administration milestones and international flashpoints:

PERIOD / DATE	PRICE ($/GAL)	YOY CHANGE	MACROECONOMIC & GEOPOLITICAL DRIVERS
Jan 2021	$2.42	-5.8%	Biden Inauguration; COVID-19 travel restrictions lingering
Jul 2021	$3.23	**+44.2%**	Global economic reopening; refinery processing lags
Feb 2022	$3.61	**+41.0%**	Russian military crosses into Ukraine; crude rallies over $100
Jun 2022	$5.01	**+61.6%**	**All-Time U.S. Record High**; refining capacity bottleneck
Dec 2022	$3.32	-3.8%	180M barrel SPR release; European energy adaptation
Jul 2023	$3.69	-20.3%	OPEC+ voluntary production quotas implemented
Oct 2023	$3.74	-2.1%	Gaza conflict erupts; initial Houthi drone strikes in Red Sea
Apr 2024	$3.73	+1.9%	Direct Iran-Israel missile exchange; 2024 seasonal price ceiling
Dec 2024	$3.14	-0.9%	Record U.S. crude output (13.4M bpd); subdued industrial demand
Jul 2025	$3.28	-7.3%	Balanced global inventories; non-OPEC deepwater expansions
Jan 2026	$2.82	-10.2%	Winter trough; resilient refining crack spreads
May 2026	$4.48	**+37.0%**	Hormuz maritime crisis; immediate tanker reinsurance suspension
Sep 2026	$4.16	**+28.4%**	Current operational average; naval escorts & alternative rerouting

KEY TAKEAWAYS

- **Asymmetric Upside Volatility:** Military flashpoints in vital maritime corridors (Bab el-Mandeb, Hormuz) generate rapid pump increases (+$0.80 to +$1.50/gal within 60 days) that require 6 to 9 months of demand adjustment to unwind.
- **SPR Depletion & Replenishment Constraints:** The substantial drawdown of the Strategic Petroleum Reserve in 2022 capped catastrophic spikes but limited emergency policy leverage during subsequent 2024 and 2026 geopolitical disturbances.
- **Refining Margin Transmission:** National gas price volatility is determined not merely by upstream crude spot prices, but by specialized regional refinery capacity and maritime product transport bottlenecks.

PRIMARY DATA SOURCES & METHODOLOGICAL REFERENCES

• **U.S. Energy Information Administration (EIA):** Weekly Petroleum Status Report (WPSR) & Monthly Regular All Formulations Retail Gasoline Series (2021–2026).
• **American Automobile Association (AAA):** AAA Fuel Gauge Daily National Average and Regional Metropolitan Price Indices.
• **U.S. Bureau of Labor Statistics (BLS):** Consumer Price Index (CPI-U) Gasoline Detailed Series (CUUR0000SETB01).
• **International Energy Agency (IEA):** Monthly Oil Market Reports (OMR), Middle Eastern Shipping Disruption Impact Studies & Global Strategic Reserves Audits.